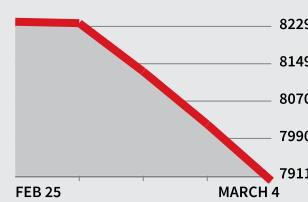


the hindu businessline

SENSEX 79116.19 (-1122.66)



IN FOCUS

	LATEST	CHANGE
Nifty 50	24480.50	-385.20
P/E Ratio (Sensex)	21.72	-0.31
US Dollar (in ₹)	92.15	+0.68
Gold Std 10 gm (in ₹)	161897.00	-4903
Silver 1 kg (in ₹)	271347.00	-18501

COMMODITIES RALLY.

Coal, aluminium & gold are likely to gain from the Iran war, and the yellow metal may reclaim \$5,600/oz; coal at 16-month high **p8**



TECHNOPHILE.

Google Pixel 10a brings Gemini AI, reliable cameras, a bright display and a minimalist design **p6**

BENGALURU - CHENNAI - COIMBATORE - HUBBALLI - HYDERABAD - KOCHI - KOLKATA - MADURAI - MALAPPURAM - MANGALURU - MUMBAI - NOIDA - THIRUVANANTHAPURAM - TIRUCHIRAPALLI - VIJAYAWADA - VISAKHAPATNAM

Regd. TN/ARD/14/2012-2014, RNI No. 55320/94

QUICKLY.

₹5,300 CR INVESTMENT
MRF signs non-binding MoU with TN for new unit



Chennai: MRF Ltd, the Chennai-based tyre manufacturer, on Wednesday signed a non-binding memorandum of understanding with the Tamil Nadu government, through its nodal agency 'Guidance', to facilitate the setting up of a greenfield manufacturing facility for automotive tyres and allied products at the Sipcot Industrial Park in Sivaganga district. **p9**

COST PRESSURE
Drugmakers brace for impact on exports

Mumbai: Drugmakers are bracing for delays and price increases that would hit them if the West Asia conflict, already over five days, stretches into months, industry experts said. Countries and drug companies usually have two-three months of inventory to sustain supplies, a pharma industry-veteran told *businessline*. If the conflict goes from days into months, it will escalate API prices and freight costs. **p3**

Markets take a hit on rising crude prices, supply concerns

ALL FALL DOWN. All indices except Nifty IT end in the red; FPIs pull out another ₹8,752 cr

Anupama Ghosh
Mumbai

It was a brutal Wednesday for the markets as escalating hostilities in West Asia triggered a broad risk-off selling. Though the markets made a late-hour recovery due to a positive opening in European stocks, it was not enough to change the broad sentiment. Fear that the war could further pressure India's macros through higher crude oil and gas prices choked sentiment, said analysts.

After hitting a low of 78,443.20, shedding nearly 1,800 points, the BSE SENSEX recovered to close at 79,116.19, losing 1,122.66 points.

The Nifty 50 shed 385.20 points to end at 24,480.50, recovering from the day's low of 24,305.40.

FPIs RUSH FOR EXIT

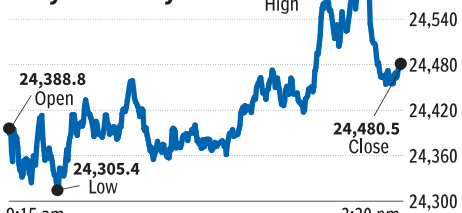
Foreign portfolio investors pulled out another ₹8,752.65 crore from equities on Wednesday, even as domestic institutions bought aggressively for ₹12,068 crore. The fear gauge, India VIX, surged 22.6 per cent to 20.83, its

Global markets yo-yoing

	Current value	% change
Dow	48,714.11*	0.44
Nasdaq	24,889*	1.17
Germany (Dax)	24,220.32*	1.81
UK (FTSE)	10,566.40*	0.78
France (CAC)	8,206.5*	1.27
Sensex	79,116.19	-1.40
Nifty	24,480.5	-1.55
Israel (TA35)	4,309.68*	-0.20
Japan (Nikkei)	58,057.2	-1.35
Korea (Kospi)	5,093.54	-12.06
Taiwan	34,323.65	-2.20
Thailand	1,384.61	-5.58
China	14,496.05	-1.60

*at 9.15 pm IST

Nifty intra-day



Broad-based selling

% fall		
-2.4	43,840.8*	BSE-MidCap
-2.3	46,421.1*	BSE-SmallCap
-1.9	35,125.6*	BSE-500
-4.0	38,860.9*	BSE Metal
-3.6	27,929.3*	BSE Oil & Gas

*Current value

highest since May 2025, as Brent crude pushed towards \$85/barrel on fears of disruption to movement via the Strait of Hormuz.

According to Kotak Securities, while a prolonged shutdown of the key waterway appears unlikely, even a disruption lasting a few weeks could cause significant market dislocation.

"Early signs of stress are already visible. Qatar, one of the world's largest LNG exporters, has reportedly shut its LNG plants, exacerbating

concerns over supply continuity," it said in a note.

Broadier markets were hit harder. The Nifty Next 50 tumbled 2.7 per cent, the Nifty Midcap 100 fell 2.16 per cent, and the Nifty Smallcap 100 slipped 2.11 per cent. Nifty Bank dropped 1.81 per cent to 58,755.25.

Except for Nifty IT, all other indices closed in the red, with Metal the hardest hit, falling 3.99 per cent, followed by Nifty PSU Bank (3.24 per cent), Realty (3.11 per cent) and Nifty Oil & Gas

(3.09 per cent). Nifty IT was up a modest 0.11 per cent, buoyed by the rupee's slide.

GLOBAL SELLOFF

Ponmudi R, CEO of Enrich Money, captured the global context: "...South Korea's KOSPI plunged nearly 12 per cent, triggering circuit breakers, while Thailand's SET index declined over 8 per cent, highlighting the intensity of the global risk aversion."

On the Nifty 50, only four stocks ended in the green.

At a new low of 92.15/\$, ₹ feels war heat; can singe current account, inflation

Our Bureau
Mumbai

The rupee continued to feel the reverberations of the war in West Asia, weakening 120 paise against the US dollar in the last two trading sessions, reflecting concerns over the negative impact that the spike in crude oil prices could have on India's current account balance and inflation.

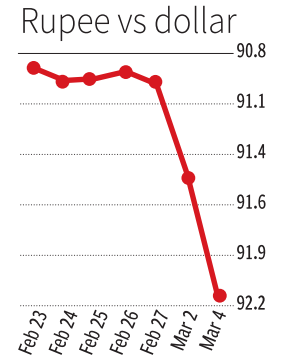
On Wednesday, the rupee sank 68 paise to close at an all-time low of 92.15/dollar. This came on top of the 52-paise decline on Monday. The rupee's previous all-time closing low was 91.96 per dollar on January 29.

DOLLAR STRENGTH

The rupee's weakness also comes in the backdrop of the dollar gaining strength against other currencies as global investors are piling into dollar assets due to risk-off sentiments as geopolitical tensions rise.

V Rama Chandra Reddy, Head of Treasury, Karur Vysya Bank, noted that the fallout of the West Asia war is that the rupee continues to be under pressure, with a strong dollar, FPI outflow from domestic equities and rising crude oil prices vitiating market sentiment.

He said the central bank likely intervened at the



92.25-92.30 level, which strengthened the rupee to 92.05 before it closed at a record low.

Reddy said that if the war prolongs, there could be implications for India's current account balance, with the possibility of the deficit widening due to higher crude oil prices and impact on remittances from the Gulf countries. This, in turn, could pressure the rupee.

Nomura assessed that every 10 per cent oil price rise worsens India's current account by 0.4 percentage points.

In India, it expects a higher import bill and risk-aversion driven portfolio outflows to increase the balance of payments, funding pressure in the near term, while higher oil prices will reinforce the RBI's on-hold stance and can add to fiscal risks. According to Nomura economists Sonal

Varma and Aurodeep Nandi, India's major external sector risk, though, is not from its current account, but from the capital account, where a sharp drop in foreign investment flows is leading to a large balance of payments deficit in FY26. A combination of a widening current account deficit and FII outflows due to global risk aversion could accentuate the rupee's weakness, they said.

OIL IMPACT

Anindya Banerjee, Head of Currency and Commodity Research, Kotak Securities, said the rupee hit an all-time low near 92.30 in the spot market, driven by the sharp rise in crude oil prices and a shortage of dollar liquidity in global markets.

"We expect the RBI to intervene periodically to contain excessive volatility and prevent a disorderly depreciation of the rupee. However, as long as crude oil prices remain elevated, the rupee could continue to face depreciation pressures," he said.

Banerjee underscored that the key variable to monitor now is the status of the Strait of Hormuz, the artery for global oil shipments.

The longer the disruptions persist, the higher the oil prices are likely to move, which in turn could push the dollar further upward.

INSIDE

India could face LNG supply risks from Qatar, UAE

Richa Mishra
Ahmedabad

As one of the biggest importers of LNG, with approximately 50 per cent of its purchases sourced from Qatar and the UAE, India will be in the eye of any LNG supply disruption with the evolving developments around the Strait of Hormuz.

If this continues, New Delhi is likely to face higher replacement costs for LNG cargoes, and price-sensitive sectors may need to relook their sourcing strategy.

Asian spot LNG prices flared up from \$10/mmBtu to \$24-25. Qatar supplies 10-11 MTPA of LNG to India, or 45 per cent of its imports.

Morbi ceramic units to shut as propane supply dries up

Avinash Nair
Ahmedabad

Morbi in Gujarat, which accounts for 80-90 per cent of India's ceramic production, is staring at a fuel crisis. Around 300 units operating on propane are expected to begin shutting operations in a day or two.

"If the propane supply stops, then 70 per cent of the units are expected to shut operations. These units may start shutting down from Wednesday night or Thursday as no new supply is expected anytime soon," Manoj Arvadiya, President (Vitrified Tiles Division), Morbi Ceramic Manufacturers Association, told *businessline*.

Urea, DAP prices rise with crude, supply worries

Prabhudatta Mishra
New Delhi

With the prices of crude oil and liquefied natural gas (LNG) rising, fertilizer prices have followed suit.

As demand is expected to rise in the coming days, particularly for urea and its key feedstock LNG, due to India's upcoming sowing season, experts fear that current disruptions could push urea prices beyond \$1,000 per tonne.

"DAP is likely to cost at least \$1,000 per tonne (FOB), up from around \$850 last week, while urea may take longer to breach the \$1,000 mark (CFR)," said a fertilizer industry expert.

Gem and jewellery exports dull on cargo delays, costs

Suresh P Iyengar
Mumbai

The war in West Asia and disruptions to global shipments will have a major impact on gem and jewellery exports from India as the sector grapples with delays in cargo movements and rising costs, according to industry players.

The industry is struggling to fulfil pending export orders amid restrictions in cargo movements due to the closure of airspace, while rising insurance costs also remain a major concern.

Apart from this, the volatility in the rupee-dollar rates and gold prices is also seen impacting the business, they said.

Reports on **p2**

Iran war: India's smartphone exports may take a blow on disruption to air route, key transfer hubs

Sindhu Hariharan
Chennai

With the US/Israel-Iran war turning more complex and prolonged, India's export momentum in smartphones is likely to come under strain.

India exports smartphones through the air route, with shipments routed to key markets via connecting flights. Dubai International Airport and Hamad International Airport in Qatar serve as major transshipment hubs for onward shipments to Europe, the US and Africa. The security situation in the Gulf countries and the resulting closure of air routes are set to impact this well-oiled export chain.

COST PRESSURE

Tarun Pathak, Director, Counterpoint, said that besides the closure of airspace across GCC countries, increased freight prices are set to make re-routing of flights



VITAL MARKET. Besides record smartphone exports to the US in FY26, the UAE is also a major destination, accounting for about 10-13 per cent of India's exports **BLOOMBERG**

or exploring alternative export modes more expensive.

"Surging oil prices triggered by the conflict are also likely to drive up the cost of dollar-denominated import of components such as chipsets and camera modules, which, added to rising memory prices, will increase the cost of domestic manufacturing," he said.

Apart from India's growing smartphone exports to the US, which hit record highs in

FY26, industry estimates suggest that the UAE is also a major destination, accounting for 10-13 per cent of India's overall smartphone exports. Also, in FY26 (April-December), the UAE imported \$4.1 billion worth of electronics items from India, making it the second largest buyer.

CARGO BOTTLENECK

Sources said that a large volume of smartphones is stuck at Chennai airport. If

the war prolongs beyond a week or 10 days, exporters might consider chartering flights, but that would come at a stiff cost generally, and especially in the current environment, they added.

Pankaj Mohindroo, Chairman, ICEA, said that any disruption in the Middle East airspace or key trade corridors could create short-term logistical challenges, and if instability persists for a longer period, exports may face temporary delays.

'TRADE WILL STABILISE'

"However, India's growing role in global electronics manufacturing and its expanding presence in Middle East markets provide structural strength. Even in a prolonged scenario, trade flows are likely to adjust and stabilise as supply chains adapt and demand fundamentals remain strong," he added.

With inputs from T E Raja Simhan

IRAN LOSES FRIGATE



EMERGENCY RESPONSE. A sailor, rescued from Iranian military ship *Iris Dena*, being taken to Sri Lanka's Galle National Hospital. The Iranian vessel was torpedoed by a US submarine in the Indian Ocean, off the Sri Lankan coast. The Sri Lankan Navy recovered 87 bodies and rescued 32 crew members from the sinking vessel, returning from naval exercises off Visakhapatnam **Report on p3** **REUTERS**

Ola Electric eyes \$50-75 m QIP fundraise for a reset as market share slides, competition rises

Jyoti Banthia
Aishwarya Kumar
Bengaluru

Electric two-wheeler maker Ola Electric is looking to raise \$50-75 million through the qualified institutional placement (QIP) route over the next two-three quarters, according to people aware of the development, as it grapples with falling sales and mounting competitive pressure.

"The QIP is likely to be done at a deep discount to the current market price, and a stake sale cannot be ruled out," said a person close to the discussions.

STAKE DILUTION

"The company has enough cash runway for the next three quarters, but will need to tap external capital thereafter." The proposed fundraise is expected to dilute Founder-CEO Bhavish Ag-



Ola Electric slipped on the Vahan dashboard rankings, with rivals gaining ground

garwal's stake, the person added.

SALES SLUMP

The move comes at a time when Ola Electric has slipped on the government's Vahan dashboard rankings, with legacy automakers and newer rivals steadily gaining ground. In calendar 2025, the company fell to the fourth place on India's electric two-wheeler leaderboard, behind TVS Motor Company, Bajaj Auto and Ather Energy. Sales stood at nearly 2,00,000 units

last year, down more than half from 2024 levels.

More recent Vahan data show the company continued to lose ground after once being among the top players in the segment.

The company has faced multiple headwinds, including aggressive festival discounting, senior management exits, and persistent servicing and spare-parts challenges.

LAYOFFS

It has also been trimming its workforce as part of what it describes as an ongoing structural transformation. Recently, the company said around 5 per cent of employees would be impacted as it increases automation across front-end operations.

"An aggressive vertical integration strategy led to execution gaps and operational bottlenecks. The leadership now faces a strategic choice, whether to persist with a

largely direct-to-consumer model or expand a dealership-led distribution approach to regain scale and trust," said another industry source.

CHANGED STANCE

Since April 2025, Aggarwal and the company have revised their stance on gigafactory capacity, monthly break-even volumes, revenue guidance and distribution strength, contributing to investor uncertainty.

The stock, which debuted last year, is trading significantly below its listing level, with more than half its market value eroded over the past year. Analysts say any sales recovery could be gradual, particularly as incumbents deepen their EV push and rivals scale up production and retail presence.

A detailed questionnaire sent to the company remained unanswered till press time.



A map of the Persian Gulf region. Iran is labeled in a black box. The Strait of Hormuz is labeled in a blue box. The map shows the coastline of Iran and the Gulf of Oman.

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QUICKLY.

Iran’s possible successor to Khamenei survives attacks



Dubai: Mojtaba Khamenei, son of Iran’s Supreme Leader, has survived the US-Israeli airstrikes on Iran in which his father Ayatollah Ali Khamenei was killed, two Iranian sources told *Reuters*. Mojtaba is seen by the Iranian establishment as a possible successor to his father. He is a mid-ranking cleric with close ties to Iran’s Revolutionary Guards. *REUTERS*

NATO destroys Iranian missile fired at Turkey

Ankara: A ballistic missile fired from Iran and heading into Turkish airspace after passing Syria and Iraq was destroyed by NATO air and missile defence systems in the eastern Mediterranean Sea, the Turkish Defence Ministry said on Wednesday. The Ministry said in a statement that there were no casualties or injuries in incident, adding that Turkey reserves the right to respond to any hostile actions against it. *REUTERS*

At least 87 killed as US submarine sinks Iranian warship in Indian Ocean

SWIFT RESPONSE. Sri Lanka rescues 32 sailors following early morning distress call from the frigate

Meera Srinivasan
Colombo

US Defence Secretary Pete Hegseth told a media conference in Washington DC on Wednesday that a US submarine sank Iranian warship *Iris Dena* in the Indian Ocean.

“An American submarine sunk an Iranian warship that thought it was safe in international waters. Instead, it was sunk by a torpedo,” Hegseth said, terming it a “quiet death” and the “first sinking of an enemy ship” by a torpedo since World War II. “Like in that war,” he said, “we are fighting to win”.

The Sri Lankan Navy rescued 32 sailors and recovered 87 bodies, following a distress call from the Iranian frigate, which sank some 40 nautical miles off Galle on the island’s southern coast, authorities said.

The development came to light when Sri Lanka’s Foreign Minister Vijitha Herath informed Parliament on Wednesday of the distress call at dawn (05.08 hours



‘QUIET DEATH’. Bodies of sailors being moved to a hospital mortuary after a submarine attack on Iranian military ship *Iris Dena*, off Galle in Sri Lanka *REUTERS*

IST) from the frigate.

Sri Lanka responded swiftly, owing to its obligations under the ‘International Convention on Maritime Search and Rescue’, Herath said. “By 6 am, we dispatched a naval vessel and by 7 am the second naval vessel,” he told the House. The injured sailors were taken to a state-run hospital in the southern Galle district.

According to Sri Lankan navy spokesman Buddhika Sampath, the vessel was not visible when the rescuers reached the spot.

The Navy is yet to probe the cause for the distress call, and is currently “focused on search and rescue operations”, he further said. “As of now, we have recovered 87 bodies,” he told *The Hindu* at 8.45 pm.

Trump threatens to halt US trade with Spain over military bases, defence spending

Reuters
Washington

US President Donald Trump threatened to impose a full trade embargo on Spain on Tuesday after the European and NATO ally refused to let the US military use its bases for missions linked to strikes on Iran.

“Spain has been terrible,” Trump told reporters during a meeting with German Chancellor Friedrich Merz, adding that he had told Treasury Secretary Scott Bessent to “cut off all dealings” with Spain.

“We’re going to cut off all trade with Spain. We don’t want anything to do with Spain,” he added.

The US relocated 15 aircraft, including refuelling tankers, from the Rota and Moron military bases in southern Spain after the country’s socialist leadership said it would not allow them to be used to attack Iran.

Trump again referenced Spain’s refusal to heed US calls for all NATO members to spend 5 per cent of their GDP on defence, and added: “Spain has absolutely nothing that we need.”

I’VE THE RIGHT: TRUMP
“All business having to do with Spain, I have the right to



US President Donald Trump



Spain’s PM Pedro Sanchez

stop it. Embargoes — do anything I want with it — and we may do that with Spain,” he said, again expressing his frustration with the Supreme Court’s ruling last month that his broadest

global tariffs were illegal under a national emergencies law. Merz, speaking with reporters after the meeting, said he told Trump privately that Spain could not be excluded from a trade agree-

ment reached between Brussels and Washington last year. “I said that Spain is a member of the European Union and we negotiate about tariffs with the US only together or not at all,” he said. “There is no way to treat Spain particularly badly.”

Trump publicly asked Bessent and US Trade Representative Jamieson Greer their opinions on cutting off Spanish trade.

“Well, Sir, I think we’ll talk about it with you,” Greer said. “We know you can use it, and if you need to use it to assure national and economic security, we’ll do it.”

You cannot play Russian roulette with the destiny of millions: Spanish PM

Reuters
Madrid

Spanish Prime Minister Pedro Sanchez on Wednesday doubled down on his opposition to the attack on Iran by the US and Israel, warning that the conflict risked playing “Russian roulette” with the lives of millions. Sanchez was responding after US President Donald Trump threatened to cut trade with Madrid over its

position on the conflict. “This is how humanity’s great disasters start... You cannot play Russian roulette with destiny of millions,” Sanchez said.

He added the world could not solve its problems with conflicts and bombs. “The position of the Spanish government can be summarised in four words: ‘No to the war,’” he said, adding the stance was not disingenuous but coherent.

“We’re not going to be

complicit in something that’s bad for the world nor contrary to our values and interests simply to avoid reprisals from someone.”

Sanchez highlighted the negative knock-on effects of the Iraq war, from a rise in jihadist terrorism to soaring energy prices, to argue that the consequences of this attack on Iran were just as nebulous and that it would not lead to a more just international order.

Swiss shipping firm MSC diverts all Gulf-bound cargo to safe ports

T E Raja Simhan
Chennai



CHANGE OF DESTINATION. Ships will divert to the next safe port of discharge, where cargo will be placed at the customers’ disposal for local recovery and onward arrangements *REUTERS*

Swiss shipping major Mediterranean Shipping Company (MSC) announced “end of voyage” for shipments destined for ports in the Arabian Gulf, effectively halting delivery to the originally contracted destinations due to the Iran-Israel war.

“End of voyage” in shipping parlance means that the ship will terminate its journey at a port other than its original intended destination due to unavoidable circumstances and emergencies.

Containers currently under MSC’s custody, whether at sea or ashore and bound for the Arabian Gulf, will not reach their intended ports. Instead, the container ships will divert to the next safe port of discharge, where cargo will be placed at the customers’ disposal for local recovery and onward arrangements.

Sources said other shipping lines may follow suit. Some of the major cargo that go from India in ships to Arabian Peninsula include textiles and leather products.

MSC said a mandatory surcharge of \$800 per container will apply to all affected shipments without exception to cover deviation costs.

The charge will be borne by the shipper. It is unclear how many MSC vessels were en route to the Arabian Gulf

at the time of the announcement.

Industry sources indicated that other global carriers could consider similar steps if disruptions persist.

The carrier stated that all discharge-related expenses, including handling, storage, and ancillary charges, will be for the sole account and risk of the cargo owner.

This is in line with the MSC sea way bill/bill of lading terms and conditions, particularly Clause 13 cover-

ing special circumstances.

The measure also extends to empty containers already released for stuffing and intended for export to Arabian Gulf destinations.

‘ABANDONED VOYAGE’
J Krishnan, Partner at Chennai-based S Natesa Iyer Logistics LLP, said shipping lines are entitled to exercise what is commonly referred to as an “abandoned voyage” clause.

“Seasoned exporters normally cover this peril in their insurance. Having correctly worded insurance coverage in such exceptional circumstances is critical,” he said.

Edwin Samuel, Managing Director of the Thoothukudi-based Pearl Shipping Agencies, said this is the usual way in which lines manage such risks, and it is done under proper legal insulation and instruments. Shippers/importers are only affected, leading to huge supply chain disruptions.

PT Jyothi Datta
Mumbai

Drugmakers are bracing for delays and price increases that would hit them if the West Asia conflict, already over five days, stretches into months, industry experts said.

Countries and drug companies usually have two-three months inventory to sustain supplies, a pharma industry-veteran told *businessline*. If the conflict goes from days into months, it will escalate active pharmaceutical ingredient (API) prices, and freight costs, among other things, following delays and pressure at sea and airports, the representative said.

Companies send critical products by flight, and several through Dubai, he said, adding that firms are evaluating options, in case of a prolonged conflict.

ISING RUPEE
A “near-term quarterly (financial) disruption” could be a potential outcome, observed Vishal Manchanda,

sons were believed to be on board at the time of the incident.

An official confirmation on the size of the crew is awaited.

When contacted, Iranian Ambassador to Sri Lanka Alireza Delkhosh, who was on his way from Colombo to Galle, told *The Hindu*: “We have no information yet on the cause, we are in close contact with Sri Lankan authorities. I am on my way to see the survivors.”

Sri Lanka has not commented on the US claiming responsibility for the torpedo attack on the Iranian vessel.

Days after the US-Israel combine launched an attack on Iran on February 28, triggering a wider war in the West Asian region, Sri Lanka expressed “deep concern over the rapid escalation of hostilities” and called on “all concerned parties to exercise maximum restraint and to take immediate and decisive action to de-escalate tensions”.

Meera Srinivasan is The Hindu correspondent in Colombo

Drugmakers brace for impact on exports in case of prolonged conflict



kar, as Dubai is a major trading hub and companies have warehouses in Brussels, for instance, to export to Europe. Looking for alternatives is not easy, he said, as there is no visibility on the end to this war. March is the financial year-ending for Indian companies, and several try to make up with exports to meet their projections, he said.

Chandrachur Datta, Partner, Vector Consulting Group, pointed out that the shipping routes were affected last year, due to the Red Sea crisis, so companies used air routes as a “fail safe” option.

With the war, air routes are going to take longer, irregular, and hence costlier, congestion and delays apart, he added. If the war goes over 21 days, the real trouble will start showing, he said.

Pharma will be indirectly impacted as oil prices increase. “Everything might either get delayed or gets costlier,” he said, adding that there will be pressure on all industries, specifically on pharmaceuticals that has a lot of cross-country transportation.

Secretaries, Tiruchirappalli, for conducting Postal Ballot process in a fair and transparent manner.

- The members can cast their votes through remote e-voting (both E-mail registered members as well as the non-registered members), as per the instructions prescribed in the Notice of Postal Ballot. **The remote e-voting shall commence on March 05, 2026 (9:00 a.m.) and conclude on April 03, 2026 (5:00 p.m).** The e-voting module shall be disabled by NSDL thereafter.
- The **Results** of the Postal Ballot shall be announced **on or before Tuesday, April 07, 2026** and the resolution if passed with requisite majority shall be deemed to have been passed on the last date of e-voting i.e. **April 03, 2026** at a general meeting. The results of the Postal Ballot shall be hosted in the website of the Bank and also it will be communicated to stock exchanges viz. NSE and BSE where the equity shares of the Bank are listed.
- In case of any query, the members may contact the officers of the Bank / RTA or refer to the Frequently Asked Questions (FAQ’s) and e-voting manual available at www.evoting.nsdl.com

City Union Bank Limited	Smt. Shobana S, Senior Manager - Secretarial Dept., No.24B, Administrative Office, Gandhi Nagar, Kumbakonam - 612001. Phone : 9361703585 e-mail : shares@cityunionbank.in
Integrated Registry Management Services Private Limited	Shri. Yuvraj S, General Manager Kences Tower, 2nd Floor, No.1, Ramakrishna St., T. Nagar, Chennai - 600017. Landline : 044-28140801 (803) Mobile : 9940164773 e-mail : einward@integratedindia.in / kalyan@integratedindia.in

By order of the Board
for CITY UNION BANK LIMITED
Sd/-
VENKATARAMANAN S
(Company Secretary)

Date : **March 04, 2026**
Place : Kumbakonam

P.S.

- SEBI vide its Circular No. HO/38/13/11(2)2026-MIRSD-POD/I/3750/2026 dated January 30, 2026 read with SEBI/HO/MIRSD/ MIRSD-PoD/P/CIR/ 2025 /97 dated July 02, 2025, has notified a special window for a period of one year from February 05, 2026 to February 04, 2027 for transfer and dematerialization (“demat”) of physical securities which were sold / purchased prior to April 01, 2019 and were rejected, returned, due to deficiencies in documents / process or otherwise. The concerned shareholders are requested to get in touch with the Bank’s RTA in this regard.
- At present Letter of Confirmation (“LOC”) is being issued to Shareholders on the matters - Transmission of shares, Name Change, Status Change, Name Correction, Consolidation / Split of Shares, Transposition, Claim from Unclaimed Suspense Account, Issuance of Duplicate Certificate in lieu of Original etc., and within 120 days of receipt, the Securities holder / Claimant has to submit the LOC to their respective Depository Participant for dematerializing the same, failing which the shares shall be transferred to CUB Suspense Escrow De-mat Account. With effect from April 2, 2026, SEBI has mandated the RTAs / listed companies to credit the securities directly to the active de-mat account of the investor after necessary due-diligence by RTAs instead of issuing LOC. The Shareholders are requested to take note of this update.

Categorisation challenges

MF category tweaks may not curb proliferation

When the Securities and Exchange Board of India (SEBI) ushered in its mutual fund categorisation norms in 2017, its intent was to ensure standardisation and truthful labelling in mutual funds (MFs), while discouraging scheme proliferation. It succeeded in the first two but failed in the third. Therefore, it is moot if SEBI's latest changes to its categorisation norms will prove effective in rationalising the 2,000-odd MF schemes.



SEBI's new circular contains both minor and major tweaks. Minor changes include equity and hybrid funds being allowed to park residual funds in gold and silver instruments and Infrastructure Investment Trusts (InvITs). Gold can act as an effective hedge against equity volatility, but it is difficult to explain why silver, which is just as volatile as equities, would be a desirable addition to stock portfolios. The addition of InvITs, though, offers diversification benefits. In a bid to discourage sectoral/thematic fund launches, SEBI will now require fund houses to ensure that overlaps between their sector/theme funds and other equity funds never exceed 50 per cent. Fund houses have been given three years to comply. This is a welcome deterrent against the proliferation of me-too equity schemes.

But while SEBI has barred the gate on sectoral equity launches, it has significantly opened a new one for debt funds. Norms so far required debt funds to cap their single sector exposure to 25 per cent. Now SEBI has allowed fund houses to roll out single-sector debt funds in bonds rated AA+ and above. However, episodes such as the IL&FS and Dewan Housing Finance defaults, tell us that when a well-known entity in a sector defaults, the bond market instantly prices in higher credit and liquidity risks for all other players, irrespective of their credit ratings. It is important that investors be warned about contagion risks.

SEBI has decreed that AMCs can no longer accept subscriptions in solution-oriented funds and merge them into other schemes. This seems harsh. Though solution-oriented funds are no different from hybrid funds, they allowed less-aware investors to save towards goals such as children's education and retirement without having to take asset allocation calls. Abruptly winding up these popular funds and merging them with open-end funds which carry higher churn, will inconvenience investors. For goal-based needs, SEBI has mooted a new MF category of 'Lifecycle funds' with tenures ranging from 5 to 30 years. With the ability to automatically shift their asset mix as they approach maturity, lifecycle funds may be tax-efficient vehicles for investors looking to save towards long-term goals. However, they are complex products. It also seems unnecessary for the regulator to prescribe their precise asset allocation patterns and mandate heavy exit loads (1 to 3 per cent) on them. Overall, these changes may see fund houses cutting back on their thematic equity launches, only to fill the gap with new lifecycle and sectoral debt offerings.

POCKET RAVIKANTH



Red flags in corporate tax revenue

Corporate tax collections are decelerating as companies stay in the old tax regime to take advantage of various incentives

POINT BLANK.
LOKESHWARRI SK

The new corporate tax regime, launched in 2019, had delivered a massive cut in corporate tax with effective tax rate lowered from the highest rate of 35 per cent to 25 per cent. Companies in the new corporate tax regime, however, had to forego all tax exemptions, incentives or deductions, including MAT credit.

If we take stock of the situation six years later, Indian companies have certainly benefitted from the tax cut. Effective tax rate of all companies has moved down from 29.5 per cent in FY18 to 22.5 per cent by FY24. But the expectations that private capex cycle will take off or job creation will improve have not been met. It can be argued that the demand contraction seen during the pandemic had impeded capital investment or that new capacities are being added in a few sectors such as chemicals, renewables and semiconductors, where demand is good.

Be that as it may, another interesting aspect is that many companies have not yet moved to the new corporate tax regime. Of the total taxable income in 2023-24, around 38 per cent continued to be under the old tax regime, paying tax at the rate of 30 per cent plus surcharge and cess.

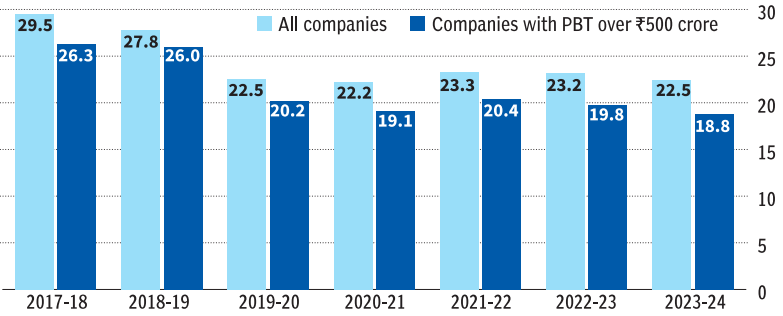
This indicates that companies, especially the larger ones, have carried forward tax credits which they are using to reduce their tax liability. The effective tax liability of companies with taxable income exceeding ₹500 crore was just 18.8 per cent, as per latest available data.

With the decline in effective tax rate, corporate tax collections have also been decelerating. The Centre's move to clamp down on credits given for Minimum Alternate Tax and nudging companies to move to the new tax regime, need to be seen against this background.

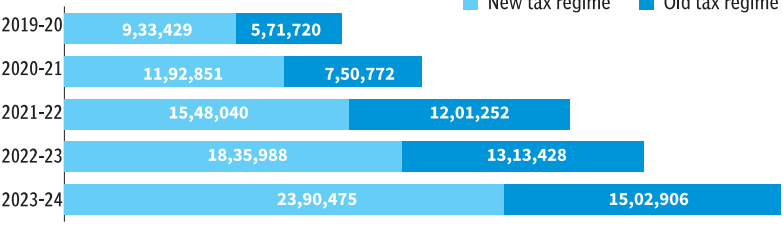
LARGE COMPANIES, LOWER TAX Larger companies, which account for a lion's share of taxable income, always paid lower tax, thanks to the battery of tax consultants employed by them to advise them on innovative means to reduce tax liability. But the gap between the tax rate of small and big companies appears to have widened of late. The effective tax rate of companies



Lower rates for the biggies



Many companies continue in old tax regime



Source: Union Budgets

with profit before tax between 0 to 1 crore was 23.68 per cent in 2023-24. The tax rate moves lower as the size of the company increases with those with profit over ₹500 crore paying tax at the rate of 18.8 per cent only.

Further, the effective tax rate of larger companies has moved down 7.5 percentage points since FY18. The current rate of 18.8 per cent is below the effective tax rate of 22 per cent in the new corporate tax regime. With losses

mounting during Covid, companies seem to have accumulated MAT credit which has helped them reduce their tax liability in the years following the pandemic. Other incentives which companies have been using as of FY24 are tax holidays provided to exporters located in Special Economic Zones, accelerated depreciation provided to manufacturing, power generation and transmission businesses, deduction of profits of infrastructure companies and deduction of profits in generation, transmission and distribution of power.

WHAT THE BUDGET DID In an ideal situation, it is good to lower tax incidence of companies so that they can improve their output and contribute to economic growth. But in the face of sluggish private capex and stagnating pay scales of private sector employees, the Centre cannot be faulted for plugging the gap that is allowing larger

While the compounded annual growth in income tax collections was 15 per cent between FY18 and FY27 (BE), the growth in corporate tax is a much lower 8.9 per cent

Pro-poor, capacity building schemes losing sheen

Money spent on several key schemes has been lower than Budget allocations. This will have implications for growth, welfare

Indranil De India's growth is propelled by private consumption and investment, but government expenditure may have more latitude for spurring the economy. The latter has a lot of bearing on agriculture and the allied sector. Along with climatic factors, technology and structural issues are major concerns. The money spent on two major Central schemes — Pradhan Mantri Krishi Sinchay Yojana (PMKSY) and its Watershed Development component — was 22.86 per cent and 40.12 per cent less than the Budget allocation in 2025-26.

Further, the budgeted amount has been reduced by a whopping 20.25 per cent in 2026-27 as compared to 2025-26.

One major reason for low farm productivity is the overuse of urea. The agronomic benchmark for N:P:K is 4:2:1. Shockingly, it has deteriorated from 4:3:2.1 in 2009-10 to 9:4.1:1 in 2023-24. This may have prompted the government to reduce the budgeted urea subsidy by 1.76 per cent for the next financial year (FY).

Interestingly, there has been 6.37 per cent overspending of subsidy during the current FY. This is concerning as there was underspending on programmes (irrigation and watershed) having wider implications for the commons and poor, while subsidy programmes have seen overspending, which have long been criticised as disproportionately

benefiting large farmers. Similarly, Pradhan Mantri Kisan Samman Nidhi, an income support programme, has been successfully executed by spending the full budgeted amount. A 100 per cent Central funding may have benefitted the latter, but these successes do not compensate for irrigation programmes' underperformance. The success of a cash transfer or subsidy programme *vis-à-vis* public asset generation programme also indicate inefficiency in implementation.

CENTRAL PUSH If State governments are unable to provide matching grants, then the Centre should allocate more funds and change the funding structure. Spending less than the budgeted amount also helped the Centre meet its fiscal deficit targets.

A 15.81 per cent underspending in Deendayal Antyodaya Yojana – National Rural Livelihood Mission (DAY-NRLM), a programme that funds SHG-bank credit linkage and generates livelihood activities, has direct implications in meeting credit needs of the rural poor. The SHE-Marts initiative, declared in the 2026-27 Budget, to promote women-led rural enterprises transitioning from SHGs to entrepreneurs, is laudable, but a more basic programme, DAY-NRLM, seems to be underperforming.

Low demand for credit by the rural poor may also be the reason for this,



UNDERSPENDING. In rural drinking water missionASHOK R

suggesting demand constraint. A 13.71 per cent underspending has occurred this fiscal in the Prime Minister Employment Generation Programme, launched to support bank-financed subsidy for setting up microenterprises in the non-farm sector.

There has also been massive underperformance of the schemes in education and public health, with 15.20 per cent underspending in Pradhan Mantri Poshan Shakti Nirman in FY26.

There is only a marginal increment in Budget 2026-27 for this scheme, which hardly protects against inflation.

It is difficult to explain the merit of reducing the budgetary allocation in Pradhan Mantri Swasthya Suraksha Yojana, which was launched in 2006 to establish new AIIMS and modernise existing Government Medical Colleges, and thus reduce regional imbalance in

health services. Social infrastructure is as important as any high-value project. Underspending in Jal Jeevan Mission (national Rural Drinking Water Mission) was to the tune of 74.63 per cent in the current FY.

Swachh Bharat Mission has also an underspending of 16.57 per cent in rural areas and 60 per cent in urban areas in the current FY. There has been a 42.11 per cent underspending in the Pradhan Mantri Gram Sadak Yojana, with no increment for the next FY, indicating a reduction in budgetary allocation in real terms.

If States' inability to finance matching grants is a reason for underperformance, then a 46.15 per cent increase in budgetary allocation for the public employment programmes MGNREGA and VB-G RAM G combined is meaningless. This is because States' share has increased from 25 per cent in MGNREGA to 40 per cent in VB-G RAM G, which replaces the MGNREGA.

An increase in unemployment would tighten the demand constraint and undermine growth. If administrative incapability is the reason behind underperformance, then administrative reforms should be conducted in mission mode. If budgetary constraint is the issue, then the Centre should step up revenue collection. In this context, the time is also ripe for introducing a wealth tax for a just and fairer society.

The writer is Professor and Axis Bank Chair, IRMA "Tribhuvan" Sankari University. Views are personal

✉ **LETTERS TO EDITOR** Send your letters by email to bleditor@thehindu.co.in or by post to 'Letters to the Editor', The Hindu Business Line, Kasturi Buildings, 859-860, Anna Salai, Chennai 600002.

Embrace AI This refers to 'AI won't take India's tech jobs away' (March 4). Despite its many advantages, artificial intelligence is better viewed as a support and productivity tool rather than a full replacement for technology jobs. AI systems are largely algorithm-driven and depend heavily on historical data for training. At the same time, the rapid expansion of data centres, an area where India is emerging as a major hub, requires significant skilled manpower for infrastructure management, cybersecurity, and system operations. Further, developing and deploying algorithms effectively requires strong domain knowledge and human judgment. Tasks involving research, innovation, and complex decision-making continue to rely heavily on human expertise. It is more likely that AI will reshape and augment the tech workforce rather than eliminate it. **Srinivasan Velamur** Chennai

Pruning the workforce It is an undeniable fact that the

Indian IT services industry maintained resilience and withstood the insurmountable pressure from the dot-com crash and other disruptions in the past. However, in anticipation of large scale takeover by disruptive technologies, some companies have already started pruning their workforce, on the grounds that the skills of the identified personnel are AI non-compatible. Considering the benefits of AI, there is a need for continuous review of the issues cropping up for a sustainable employment growth in

the IT services sector. **Sitaram Popuri** Bengaluru

Spectrum reserve price Apropos 'Optimal bandwidth' (March 4). TRAI's decision to slash spectrum reserve prices is overdue, but acknowledgement alone does not fix a broken system. For years, artificially high reserve prices kept large chunks of spectrum unsold while operators deferred network investment and consumers paid more. The 2024 auction, where barely 12 per cent of the revenue

target was met, made the problem impossible to ignore any longer. Cutting prices is necessary, but the deeper reform required is moving away from fixed annual auctions towards a flexible, demand-driven model. Operators should be able to acquire spectrum when needed. Idle airwaves serve no one — neither the exchequer, nor subscribers. A dynamic marketplace would serve India's connectivity goals better than calendar-driven auctions calibrated to outdated revenue assumptions. **A Myilsami** Coimbatore

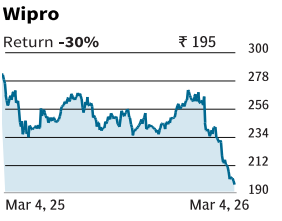




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QUICKLY.

Wipro shares hit 52-week low amid contract loss



Mumbai: Shares of Wipro touched a fresh 52-week low of ₹194.51 on Wednesday, sliding 1.74 per cent to trade at ₹195.11, weighed down by reports that the IT giant is set to lose a \$500-million contract with cosmetics major Estée Lauder to rival Accenture. The stock has been under sustained pressure, falling over 30 per cent in the past year, against a Nifty 50 gain of nearly 11 per cent. Year-to-date, Wipro has shed close to 27 per cent, making it one of the sharper decliners among large-cap IT peers. Trading volume stood at 83.78 lakh shares, with a traded value of ₹163.98 crore and a market capitalisation of approximately ₹2.05 lakh crore. OUR BUREAU

SEBI revamps AIF reporting norms

Mumbai: SEBI has overhauled the regulatory reporting framework for Alternative Investment Funds (AIFs), replacing the existing quarterly activity report regime with a combination of annual and limited quarterly filings, aimed at easing compliance burdens. In a circular issued on Wednesday, it said that AIFs will now be required to submit a comprehensive Annual Activity Report within 30 calendar days from the end of each financial year. The first such report, for the year ending March 2026, must be filed by May 31, 2026, through the SEBI Intermediary Portal. AIFs will also file a limited Quarterly Activity Report in a revised format within 15 days of the end of each quarter, starting with the quarter ending June 2026. No separate quarterly report will be required for the March quarter, as the annual filing will subsume those data points. The revised reporting formats will be hosted by the Indian Venture and Alternate Capital Association, which will also assist AIFs in implementation. OUR BUREAU

PNGS Reva Diamond Jewellery closes over 7% higher in debut trade

Press Trust of India
New Delhi

Shares of PNGS Reva Diamond Jewellery ended with a premium of over 7 per cent against the issue price of ₹386 on Wednesday. The stock started trading at ₹372, a decline of 3.62 per cent from the issue price on the BSE. But later, the stock recovered lost ground and ended at ₹413.95, up 7.24 per cent. On the NSE, it listed at ₹375, registering a discount of 2.84 per cent from the issue price. Shares of the firm later ended at ₹411.70, a jump of 6.65 per cent.

Nifty 50 Movers					▼ 385.20 pts.				
Close(₹)	Pts	PE	WBV%		Close(₹)	Pts	PE	WBV%	
Bharti Airtel	1905.90	19.99	29.33	4.76	Solar Industries	1453.00	35.53	60.98	1.59
Infosys	1307.40	14.22	18.93	4.10	Info Edge I.	999.70	-1.40	38.47	-1.74
Coal India	435.15	4.43	9.01	0.89	Adani Power .	137.82	-1.78	23.52	2.44
Tech Mahindra	1351.20	0.81	28.83	0.77	Bajaj Housing Finance .	84.14	-3.20	28.29	0.35
Dr Reddys Lab	1291.20	-0.43	19.51	0.71	Bajaj Holdings	10651.00	-5.72	13.23	2.07
Sun Pharma	1750.50	-0.46	38.35	-0.66	ZydusIntelligences	1137.50	-46.48	63.90	2.06
HCL Tech	1364.00	-1.62	22.47	1.29	Siemens Energy India .	2942.00	-8.15	88.69	-1.17
Wipro	195.55	-1.89	15.38	0.96	Indian Railway Finance Corp	97.74	-8.58	18.23	0.78
TataConsumerProduct	1110.60	-2.09	74.68	0.65	Terretr Pharma	4341.00	-8.85	64.67	2.04
Asian Paints	2285.20	-2.17	56.06	0.93	Lic	828.05	-9.26	10.25	0.83
Adani Enter	2076.50	-2.75	16.45	0.95	Mazagon Dock	2165.40	-7.51	17.96	1.01
Apollo Hosp	7666.00	-2.83	59.08	0.71	Adani Energy Solutions .	960.50	-12.28	48.40	1.50
Bajaj Auto	9652.50	-3.00	30.34	0.96	Tata Power	365.85	-12.60	23.34	2.76
Eternal Ltd.	240.73	-3.37	1005.68	1.55	Limintidree	4349.30	-15.33	27.30	1.81
Trent Ltd.	3756.80	-4.46	82.45	0.75	Avenuesuper	3760.90	-18.38	85.45	2.49
ONGC	276.95	-4.47	20.75	0.96	Jaw Energy	468.05	-21.33	31.42	1.13
Cipla	1313.20	-4.74	23.40	0.66	Abb India	5830.50	-23.99	73.26	1.37
PowerGrid Corp	291.95	-4.82	17.49	1.19	Britannia Ind	5889.50	-24.59	58.71	3.12
Max Healthcare	1053.70	-4.88	72.22	0.70	Pidilittind	1439.10	-24.60	63.29	2.01
HDFC Life	684.60	-5.35	78.02	0.66	Ambuja Cements	476.15	-26.71	23.92	1.30
NestleInda	1245.30	-5.41	73.62	2.80	Hawells	1318.70	-26.71	55.78	1.49
Jio Financial Services Ltd.	241.30	-5.54	95.53	0.71	ICI Lombard Gic	1855.50	-29.05	32.99	2.02
Bharat Elec	446.85	-5.58	54.78	1.43	Adanigreenergy	871.95	-29.06	77.38	1.20
TCS	2587.80	-5.76	19.52	2.37	Hyundai Motor India .	2078.40	-29.77	29.17	1.33
Hindalco	921.80	-5.78	12.88	1.20	Shree Cement	2535.00	-30.90	50.93	1.52
Adani Ports	1434.40	-5.81	26.45	0.95	Divi Lab	5316.00	-33.36	67.64	3.60
Titan	4204.40	-5.97	78.32	1.56	Hindus Zinc	591.25	-34.34	21.17	1.15
Eicher Motors	7626.50	-6.02	39.05	0.94	Rural Elec	328.75	-38.22	5.02	1.84
ITC	311.95	-6.24	18.88	2.69	Dif	569.05	-40.71	31.81	1.64
SunGloBowl	4392.90	-6.32	52.89	0.89	Power Finance	396.55	-42.16	3.92	2.59
Bajaj Finserv	1899.30	-6.60	15.72	0.97	Hindustanaironautics	3876.80	-42.58	29.14	3.30
Maruti Suzuki	14158.00	-6.62	29.81	1.66	United Spirits .	1316.80	-44.13	55.68	1.75
Grasim Ind	2683.20	-7.89	19.28	0.92	Macrotech Developers .	912.85	-40.03	27.25	1.15
Tata Motors Ptv	351.20	-8.90	47.76	0.66	Indian Hotels Co .	633.75	-45.46	41.68	2.50
SBI Life	1938.60	-10.01	78.92	0.78	Godrej Consumer	1137.50	-46.48	63.90	2.06
UltraTech Cement	12107.00	-10.77	46.56	1.29	Tys Motor Corp.	3746.70	-46.77	58.29	3.95
JSW Steel	1213.00	-11.19	38.20	1.02	Siemens	3161.00	-47.89	71.00	1.25
Hind Unilever	2261.30	-11.55	52.84	1.80	Punjab Natli Bank	121.37	-48.41	7.80	1.88
NTPC	365.80	-12.22	14.29	1.55	Bosch	33390.00	-51.53	35.72	1.30
Shriram Finance Ltd.	1010.00	-13.06	20.77	1.27	Cap Power & Ind Sol	687.22	-50.52	67.24	3.60
Axis Bank	1351.30	-13.20	15.88	3.47	CholamandalamInf	1653.60	-63.57	28.79	3.14
ICIICI Bank	1365.40	-13.48	17.25	8.74	Varun Beverages .	429.75	-63.85	47.47	2.64
M&M	3264.30	-13.71	24.01	2.61	Canara Bank	146.93	-67.06	7.24	2.22
State Bank	1174.50	-14.02	12.53	4.37	Samvardimithersoninternat	122.88	-76.89	35.64	2.45
Kotak Bank	4025.35	-15.73	21.54	1.80	Ga Power & Ind Sol	1168.42	-77.81	59.12	2.11
Reliance Ind	1345.00	-19.26	16.82	8.14	Gail (India)	154.61	-84.65	11.81	1.87
Bajaj Finance	945.10	-19.31	32.09	2.25	Bank Of Baroda	299.30	-88.50	7.88	2.49
Tata Steel	196.73	-25.89	19.62	1.46	Indian Oilcorp	170.44	-97.19	6.53	2.86
HDFC Bank	888.65	-36.07	17.26	11.91	Bpcl	356.40	-107.00	6.28	3.10
L&T	3882.50	-47.43	28.14	4.09	Vedanta	701.00	-113.76	16.54	5.34

Pts: Impact on index movement

L&T slumps on Gulf region exposure, but brokers divided on biz prospects

IMPACT REVIEW. The decline comes as investors reassess risks linked to project execution and profitability

Madhu Balaji
Bengaluru

Shares of Larsen & Toubro (L&T) settled 4.5 per cent lower on Wednesday, marking their fourth consecutive session of losses amid rising concerns over the company's exposure to West Asia and potential margin pressures. The stock closed at ₹3,882.15 on the BSE, hitting an intra-day low of The sharp decline comes as investors reassess risks linked to geo-political tensions in the Gulf region and their possible impact on order execution and profitability.

RISING RISKS
Global brokerage Macquarie maintained an 'outperform' rating on L&T with a target price of ₹4,910, but cautioned about rising risks to margins. It noted that 37 per

cent of L&T's order-book was directly from West Asia at the end of Q3FY26, while 33 per cent of order inflows in 9MFY26 came from the region. It highlighted that the company's total exposure to the Gulf has increased over the years, with 55 per cent of the Gulf order-book based on fixed-price contracts. Macquarie said evolving scenarios in the Gulf region pose a risk to L&T's margins, especially given the fixed-price nature of a significant portion of contracts.

‘BUYING OPPORTUNITY’
On the other hand, CLSA retained an 'outperform' rating on the stock with a target price of ₹4,842, viewing the recent weakness as a cyclical buying opportunity. It suggests that a potential blockade of the Strait of Hormuz for the whole of March



BROADER OUTLOOK. Global brokerage Macquarie retained an 'outperform' rating on L&T with a target price of ₹4,910, but cautioned about rising risks to margins

could shave 1.8 per cent off L&T's consolidated earnings per share. It pointed out that the stock has corrected significantly and is now among the cheapest large-cap industrial names in India. The brokerage underscored that L&T has navigated past crises by shifting its

market focus from Indian government capex to West Asia, and later to Europe and domestic private capex. This diversification helped drive order inflows up 18 per cent year on year in Q3FY26, even as new West Asia orders fell 70 per cent. With a \$81-billion back-

log, up 30 per cent year on year, CLSA believes L&T's order-book remains solid despite perceptions of a slowdown in West Asia, providing medium-term visibility even as near-term volatility persists.

EXPANSION PLANS
Kotak Institutional Equities said it expects the pace of EBITDA margin expansion to remain limited over the next two years, given that renewables and thermal projects, which account for about 20 per cent of the order backlog, are relatively low-margin. Over the medium term, Kotak sees opportunities from the seven high-speed rail projects worth ₹810 lakh crore excluding rolling stock, rising defence spending and full-scale nuclear ordering expected over the next one-two years.

BSE to roll out monthly F&O on Sensex Next 30

Our Bureau
Mumbai

SEBI has allowed BSE to launch derivative contracts on the “BSE Sensex Next 30 Index”. The index tracks the largest and most-liquid companies in the BSE 100 that are in the derivatives segment and not members of the BSE Sensex 30 index. The Sensex Next 30 Index tracks emerging large-cap companies poised to join the flagship index, presenting a compelling thematic play on future market leaders. The exchange will offer cash-settled monthly index futures and monthly index options with expiry dates on the last Thursday of each expiry period, it said. **DIVERSIFIED EXPOSURE** Rajesh Palviya, Head of Research, Axis Securities, said the approval for BSE to launch derivative contracts on the Sensex Next 30 Index

marks a structurally positive development for equity markets. Amid regulatory tightening that has elevated margin requirements and curbed excessive speculation, the launch is unlikely to trigger an immediate surge in trading volumes, he said. However, over time, this differentiated product could draw informed investors and institutions seeking diversified exposure beyond the benchmark Sensex, said Palviya. Even with stricter norms, product innovation remains appealing to serious traders and hedgers. While retail participation may start cautiously, proprietary desks, hedge funds and portfolio managers stand to uncover relative-value and arbitrage opportunities, he added. While regulations temper speculative excess, high-quality index products with proven depth and credibility will sustain long-term investor interest.

Invesco Mutual Fund

Invesco Asset Management (India) Pvt. Ltd.
(CIN: U67190MH2005PTC153471), 2101-A, 21st Floor, A Wing, Marathon Futurex, N. M. Joshi Marg, Lower Parel, Mumbai - 400 013
Telephone: +91 22 6731 0000, Email: mfservices@invescoindia.com; www.invescomutualfund.com

NOTICE

NOTICE is hereby given that Invesco Trustee Pvt. Ltd., (**the Trustee to Invesco Mutual Fund**) has approved the declaration of Income Distribution cum Capital Withdrawal ('IDCW') in the following scheme, the particulars of which are as under:

Name of the Scheme	Plan(s) / Option(s)	Amount of IDCW* (Rs. per unit)	NAV as on March 2, 2026 (Rs. per unit)	Record Date*
Invesco India Balanced Advantage Fund, an open ended dynamic asset allocation fund	Regular Plan - IDCW Option	0.15	18.10	March 9, 2026
	Direct Plan - IDCW Option		22.52	

*Distribution of the above IDCW is subject to the availability of distributable surplus and may be lower to the extent of distributable surplus available on the record date. IDCW payable to the unit holder(s) will be lower to the extent of tax deducted at source, at applicable rates.

#or immediately following Business Day if that day is not a Business Day.
Face Value per unit is Rs. 10/-.

Pursuant to payment of IDCW, the NAV of the IDCW Options of the scheme would fall to the extent of payout and statutory levy, if any.

Unit holders of the aforesaid scheme, whose names appear in the records of the Registrar, KFin Technologies Limited, as at the close of business hours on **Monday, March 9, 2026** or immediately following Business Day if that day is not a Business Day (including valid purchase/switch-in application received till 3.00 p.m. on the record date, subject to the entire amount of subscription/ purchase as per the application / switch-in request is available for utilization by the scheme before the cut-off time on the record date) will be entitled to receive the IDCW.

Unit holders holding units in dematerialized (electronic) form whose names appear in the statement of beneficial owners maintained by the Depositories under the aforesaid scheme as at the close of business hours on **Monday, March 9, 2026** will be entitled to receive the IDCW.

With regard to Unit holders under IDCW options of the aforesaid scheme, who have opted for IDCW Reinvestment facility, the IDCW due will be reinvested by allotting units for the IDCW amount (net of applicable taxes and stamp duty) (on the next Business Day after the Record Date) at a price based on the prevailing ex-IDCW NAV per unit on the record date.

For Invesco Asset Management (India) Pvt. Ltd. (Investment Manager for Invesco Mutual Fund)
Sd/-
Saurabh Nanavati
Managing Director & Chief Executive Officer
Date: March 4, 2026

Mutual Fund investments are subject to market risks, read all scheme related documents carefully.

QUICKLY.

Finnish President Stubb begins 4-day India visit



New Delhi: Finnish President Alexander Stubb began a four-day visit to India on Wednesday to shore up bilateral cooperation. Stubb will hold talks with Prime Minister Modi on Thursday following which the two sides are expected to firm up a number of Memoranda of Understanding to boost cooperation in a number of sectors. PTI

ZeroHarm raises ₹65 cr from Kotak Alts, Alkemi

Hyderabad: ZeroHarm Sciences, a nano-formulated plant-based nutraceutical brand, closed a ₹65 crore funding round. Kotak Alternate Asset Managers, through its Kotak Life Sciences Fund I, has invested ₹40 crore, while Alkemi Growth Capital, invested ₹25 crore. The capital will primarily be deployed to build India's first "Trust over Promise" health platform. OUR BUREAU

DMK-Congress finalise seat sharing deal in TN

Chennai: The ruling Dravida Munnetra Kazhagam (DMK) and the Indian National Congress on Wednesday finalised their seat-sharing arrangement for the coming Tamil Nadu Assembly election, with the Congress set to contest from 28 constituencies. It has also been allotted one Rajya Sabha seat as part of the agreement. The pact was formally signed by DMK President and Chief Minister MK Stalin and Tamil Nadu Congress Committee President K Selvarunthagai. OUR BUREAU

Services PMI slipped a tad to 58.1 in Feb

COST PRESSURES. While new order growth slowed, service providers saw a pick up in international sales

Our Bureau
New Delhi

With slower growth in new orders, the services sector showed some moderation in February as the Purchasing Managers' Index (PMI) slipped a tad to 58.1 from 58.5 in the previous month, an S&P Global report showed on Wednesday. Pranjul Bhandari, Chief India Economist at HSBC, noted that PMI was largely unchanged. "While new order growth slowed to a 13-month low amid rising competition, service providers saw a notable pick-up in international sales and responded with increased hiring to meet operational needs," she said. PMI is based on responses from purchasing managers of 400 companies. Index

above 50 means expansion and below 50 means contraction.

INFLATION BAGGAGE According to S&P Global, February data highlighted the sharpest increase in operating expenses among Indian services firms in two-and-a-half years, with the rate of inflation edging above its historical average. According to the panelists, food (cooking oil, egg, meat and vegetables) was the main source of cost pressures, although there were also mentions of greater outlays on energy, labour and commodities. Similarly, "prices charged for the provision of services were raised to the greatest extent in six months. Here, too, the rate of inflation was historically elevated," stated the report.



RETAINING OPTIMISM. Although moderate, the rate of job creation outpaced its long-run trend. Indian services companies indicated mild pressure on their operating capacities REUTERS

Monitored companies suggested that additional cost burdens had been transferred through to clients. Service providers were confident in their ability to secure new orders and thereby lift business activity over the course of the coming 12 months. Bhandari said that input

and output price inflation accelerated, with firms passing higher expenses — particularly for food and labour — on to customers, yet business confidence climbed to its highest level in a year as companies looked to broaden their market presence. Overall, "the composite

PMI rose to 58.9, reflecting the fastest pace of private sector activity growth in three months, buoyed by strong momentum in manufacturing," she said.

GOING AHEAD It may be noted that manufacturing PMI rose to a four-month high of 56.9. The report further said that upgraded output forecasts helped drive a quicker increase in payroll numbers. Although moderate, the rate of job creation outpaced its long-run trend. Indian services companies indicated mild pressure on their operating capacities, as evidenced by a second successive monthly increase in outstanding business volumes. "The rate of accumulation was marginal and similar to that of January," it added.

MRF to invest ₹5,300 cr in new tyre plant in TN, signs MoU with State govt



ON A ROLL. (from left) Rahul Mammen, MD, MRF; TRB Rajaa, State Industries Minister; Arun Mammen, Vice-Chairman and MD, MRF Ltd; Udhayanidhi Stalin, Deputy CM; KM Mammen Mappillai, Chairman and MD, MRF; and Chief Minister MK Stalin at the Secretariat in Chennai on Wednesday

Our Bureau
Chennai

MRF Ltd, the Chennai-based tyre manufacturer, on Wednesday entered into a non-binding memorandum of understanding (MoU) with the Tamil Nadu government, through its Nodal Agency 'Guidance', to facilitate the setting up of a greenfield manufacturing facility for automotive tyres and allied products at the Sipcot Industrial Park in Sivaganga district of Tamil Nadu.

The proposed project envisages an estimated investment of about ₹5,300 crore over a period of 12 years, and is expected to generate direct employment for approximately 1,000 people, the company said in a filing to the exchanges.

CONDITIONS "The MoU is subject to sanction of a customised incentive package, infrastructure support, including land and statutory approvals by the Tamil Nadu government," the company said.

25-75 HP tractors have up to April 1, 2032, to comply with emission norms; higher HP units get up to Oct 1 this year

Amit Vijay Mohile
Mumbai

In a significant relief to India's agricultural machinery industry, the Ministry of Road Transport and Highways (MoRTH) has deferred the implementation of Tractor Emission Stage V (TREM V) norms for 25-75 HP range, to April 1, 2032.

This segment represents over 70 per cent of annual domestic sales. This gives tractor makers sufficient time to develop the technologies to help them comply with the emission norms.

CALIBRATED SHIFT The draft notification issued by the Ministry stated that migration to Stage V shall be implemented in two phases



ONE FOR ALL. The MoRTH notification has adopted a fuel-neutral framework applicable to engines operating on diesel, CNG, hydrogen and ethanol blends KOMMURI SRINIVAS

based on engine power expressed in kilowatts (kW). As part of this, tractors with 25-50 HP (19-37 kW) will transition to an interim TREM IIIAA standard from April 1, 2028, before moving to full Stage V compliance in

horsepower and niche tractors, limits on particulate matter will be significantly tightened and, for the first time, a Particle Number (PN) limit will be introduced. This effectively requires the adoption of Diesel Particulate Filters (DPF)," the regulation has stated.

The 25-75 HP segment is the undisputed "heart" of the Indian tractor market, which is experiencing strong growth in FY26. Total sales are expected to exceed 10 lakh units for the first time.

PRICE IMPACT Industry executives estimate that compliance in the core segment could increase tractor prices by 15-20 per cent in the long run. Analysts estimate cumulative investments of

₹10,000-12,000 crore by major manufacturers such as Mahindra & Mahindra, Escorts Kubota, and CNH Industrial over the next seven years.

TREM V signals a structural shift in rural service ecosystems. Industry analysts said the next-generation tractors will rely heavily on Electronic Control Units (ECUs), emission sensors, DPF regeneration cycles and on-board diagnostics.

The MoRTH notification has also adopted a fuel-neutral framework applicable to engines operating on diesel, CNG, hydrogen and Ethanol blends (ED95).

To facilitate the transition, a nine-month grace period for registration has been proposed for existing inventory.

Hookah to be taxed separately in restaurants

Shishir Sinha
New Delhi

Enjoying a hookah alongside a meal in a restaurant may soon inflate your bill. West Bengal's Authority for Advance Ruling (WBAAR) has ordered that hookah be taxed separately and at a higher rate, even when served with food.

"In the case of tobacco-based hookah, it will be treated as a supply of goods and taxed at 20 per cent CGST + 20 per cent SGST. For non-tobacco-based hookah (using dried tea leaves, mint leaves, or rose petals, as stated by the applicant), the supply will also be treated as a supply of goods and taxed at 9 per cent CGST + 9 per cent SGST," the AAR stated while disposing of an application by Indian Wire Products Company, which runs the 'Pappu



Chaiwala' restaurant chain. The chain's Kolkata-based outlet sought an advance ruling on whether serving hookah alongside food constitutes as a supply of goods or services under Clause 6(b) of Schedule II of the CGST Act. The Tax Department submitted that many "hookah bars" supply hookah services alongside ancillary food items, yet discharge GST at a concessional 5 per cent by classifying the entire activity as a "restaurant service".

"The jurisdictional authority is of the opinion that such practices require strict scrutiny, as the principal supply is not food or beverages, but a variety of hookah flavours," the department argued.

SEPARATE TAXES The department further noted that prices charged to customers range from approximately ₹550 to ₹1,200 per session, depending on the duration and the restaurant's category. This price point, they argued, indicates that the dominant element of the transaction is the hookah rather than the food. After reviewing the facts, the WBAAR concluded that when a restaurant serves hookah alongside food, it constitutes two separate composite supplies: food and tobacco (or non-tobacco) products for smoking. Consequently, both must be

taxed separately. According to Manoj Mishra, Partner at Grant Thornton Bharat, this ruling creates a classification reset for operators who built pricing models around the lower 5 per cent rate. "The exposure could be significant. For outlets where hookah sessions are priced between ₹800 and ₹1,500 and form a steady revenue stream, the differential tax impact over several years may translate into sizeable demands, including interest and potential penalties," Mishra said. "Beyond the immediate numbers, the ruling sharpens the interpretation of 'composite supply' under GST and signals a more rigorous approach to bundled offerings. Businesses will need to reassess historical positions, provisioning strategies, and contract structures with urgency," he added.

Godrej Properties bags 5-acre prime land parcel in Kolkata through e-auction

Our Bureau
Kolkata

Real estate major Godrej Properties on Wednesday said it has won an e-auction bid, conducted by the West Bengal Housing Infrastructure Development Corporation (WBHIDCO), for a 5-acre prime land parcel at an upmarket residential locality in Kolkata.

The proposed premium residential development is expected to generate an estimated revenue potential of around ₹1,650 crore, the company said in a stock exchange filing.

PRIME LOCATION The land parcel is located off EM Bypass, Kolkata. The EM Bypass corridor is among the city's most well-connected

and rapidly developing urban stretches, supported by strong physical and social infrastructure.

It links major neighbourhoods such as Salt Lake, New Town, Park Circus, Gariahat, and Garia, enabling seamless access to commercial hubs, IT-ITeS clusters, educational institutions, and leading healthcare facilities across the city.

Gaurav Pandey, MD & CEO, Godrej Properties, said, "Kolkata's homebuyers are increasingly seeking neighbourhoods that offer strong connectivity, dependable social infrastructure, and homes aligned with evolving lifestyle needs. The EM Bypass micro-market reflects this shift, making it an important location for us to deepen our presence."

Tamil Nadu unveils Shipbuilding Policy 2026, targets VLCC and mega vessel projects

Our Bureau
Chennai



ELIGIBILITY. Shipyards engaged in manufacturing, repair and maintenance with a minimum committed investment of ₹1,000 crore and creation of at least 1,000 jobs will qualify for a structured package of assistance

production-linked incentives. To facilitate implementation, the State will create a special purpose vehicle (SPV) with a separate legal existence under Sipcot. An agency nominated by the Centre may also be invited as a major stakeholder. The SPV will support the establishment of shipyards by enabling seaside facilities

and will play a key role in easing project financing.

COMPONENT MAKERS The policy also extends incentives to the component manufacturing industry. Any investment of at least ₹50 crore, supplying a minimum of 50 per cent of production (in invoice value terms) to shipyards and creating at least 100 jobs, will be eligible

for incentives under the Tamil Nadu Industrial Policy, 2021, with recognition as a Sunrise sector. Investments between ₹50 crore and ₹499 crore will be treated as large projects, while those above ₹500 crore will be classified as per TNIP 2021 norms.

ALIGN WITH CENTRE The State policy comes amid the Centre's broader push to revitalise India's shipbuilding sector, including a ₹69,725 crore support package, comprising a ₹25,000 crore Maritime Development Fund and a ₹24,736 crore Shipbuilding Financial Assistance Scheme. The Shipbuilding Policy 2026 will remain valid for five years from the date of notification or until a new policy is announced, whichever is later, and may be revised periodically.

Gen AI in court: Human verification is non-negotiable

KV Kurmanath
Hyderabad

The Supreme Court's strong caution against judicial reliance on artificial intelligence (AI)-generated judgments highlights the perils of using Generative AI, which can lead to hallucinations and prompt judicial officers to cite non-existent judgments. This could result in skewed inferences.

AI, legal and technology experts contend, can be an assistive tool rather than a substitute for human professional judgment and mandatory verification.

HALLUCINATION The apex Court has held that judicial orders, citing hallucinated case law constitute judicial misconduct and several High Courts, including those in Andhra Pradesh and Kerala, have issued warnings or binding rules restricting AI-assisted drafting. Similar



issues have arisen globally. "Using AI to deliver judgments may seem easy. However, it is not appropriate for judges to rely on AI while deciding cases. Judicial decisions must be based on human reasoning, wisdom, and careful consideration of facts and law," said Mangari Rajender, a retired district judge and former Director of the Telangana State Judicial Academy. Sanjeev Kapoor, Senior Partner at Khaitan & Co law firm, said that US courts

have fined lawyers for submitting AI-generated citations without verification. He said that the European Union and Singapore built frameworks to flag and address the risks associated with the use of AI in judicial delivery.

"These global principles align with core themes that hallucinations remain a real risk and that lawyers remain fully responsible for accuracy. Most importantly, AI cannot replace professional judgment," he said. Terming the SC ruling timely, AI industry analyst and author Kashyap Kompella felt that judicial decisions derive their authority from reasoned analysis, verified precedent and institutional accountability. "Any tool that risks introducing inaccuracies into that process deserves careful scrutiny. The concern really is about the uncritical use of AI," he said. Kashyap further argued

that AI tools like OpenAI ChatGPT, Google Gemini or Anthropic Claude are capable of producing fluent, persuasive text. "But that fluency creates a false sense of reliability. In reality, these systems generate responses by predicting likely word sequences; they neither verify facts nor understand legal doctrine as trained professionals do. In legal contexts, even minor inaccuracies can have serious consequences," he said.

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US may raise temporary global tariff rate to 15%

Washington: US Treasury Secretary Scott Bessent said on Wednesday that an increase in President Donald Trump's new temporary global import tariff to 15 per cent from 10 per cent was likely to be implemented sometime this week. The new tariff rate was announced by Trump in late February after the Supreme Court struck down his previous global tariffs under a national emergencies law. **REUTERS**

SBI recruits 5,783 junior associates

Mumbai: State Bank of India (SBI) recruited 5,783 junior associates across States and Union Territories out of the 9,00,771 candidates who applied. With this latest round of recruitment, SBI has added over 18,000 new employees to its workforce during the current fiscal, marking one of its most expansive talent induction drives in recent years. **OUR BUREAU**

Jio will be among first token service providers: Group CEO

LOW COST. Firm keen on issuing AI tokens at an affordable rate, as it has done for data

Vallari Sanzgiri
Mumbai

Jio will be one of the first token service providers, said Mathew Oommen, Group CEO at Jio Platforms, during a session at the Mobile World Congress in Barcelona, Spain. Stating that the world is going through a reset in the AI era, Oommen said it is imperative to redefine the entire telecom and digital industry.

A token service provider manages the tokens (units of data) consumed by AI models. In the age of AI, these tokens are expected to be the new currency.

FIRST PLAYER

According to Oommen, Jio is keen on providing these AI tokens at an affordable rate as it has done in the past for



USAGE CONTROL. A token service provider manages the tokens (units of data) consumed by AI models

voice and data in India. “We believe Jio will be one of the first scalable token services providers. We are determined to deliver the lowest cost of dollar per token per watt. We do not want to be the largest token pipe. The question is can we become the fabric of that AI infrastructure and become the owner of the tokenomics? That is the opportunity, so we can be the largest token

generator opportunity,” he said.

KEY PILLARS

Oommen said telecom and AI infrastructure will change in the intelligence economy and serve as key pillars of “intelligence endpoints”. This will be part of an ‘AI Command Architectural Framework’, which will serve as the fundamental building block of a seven-layer intelli-

gence architecture. He also expects the telecom currency to rapidly change from minutes to bytes to tokens. Regarding labour segmentation, Oommen said there is a need for a complete reset of talent rather than reskilling where the industry leverages the full capability of the intelligence opportunity. Further, he said there is a functional dismantling of the workforces, with AI being embedded into all critical economic and national grids, leading to unprecedented scale of the disruption of businesses and business models. In 2026 alone, over \$3 trillion is being invested towards AI and of that about \$810 billion is just for a few of the hyperscalers, he said, calling it a generational transformation from the industrial age to the AI era.

New UDAN scheme focuses on airport sustainability

Rohit Vaid
New Delhi

Apart from enhancing regional connectivity, the modified Ude Desh Ka Aam Nagrik (UDAN) scheme will focus on the long-term operational sustainability of developed aerodromes, sources told *businessline*. The revamped framework, sources said, marked a strategic shift from starting flights to ensuring the survival of ground infrastructure, moving away from a model that previously left regional airstrips vulnerable once the initial subsidies expired. In previous iterations of the scheme, the primary focus remained on immediate accessibility, with the government providing a fixed

three-year exclusivity period for airlines to establish routes. However, once this initial window closed, many airports struggled to remain functional, as there was no dedicated provision for the high recurring costs of ground operations. To address the high gestation costs that affect new regional airports, the proposed modified UDAN scheme is expected to introduce a three-year operations and maintenance (O&M) support mechanism. Accordingly, this support acts as a financial bridge, covering essential utilities, security and staffing costs during the early years, when passenger traffic is typically too low to generate self-sustaining revenue. The proposed scheme,



sources said, intends to stabilise airport balance sheets to prevent the emergence of aerodromes that fall into disrepair due to a lack of operational funding. **INFRA & VGF SPLIT** Notably, the proposed outlay of ₹30,000 crore for the upcoming scheme is designed to fund a 10-year roadmap for regional aviation. Of this budget, ₹18,000 crore is earmarked specifically for aerodrome infrastructure, while

Of ₹30,000 crore outlay, ₹18,000 cr is earmarked for aerodrome infrastructure

₹12,000 crore is allocated for viability gap funding (VGF). This dual-track investment aims to connect 120 new destinations and facilitate travel for 4 crore additional passengers, with an emphasis on hilly areas, the North-Eastern region and aspirational districts. Regarding airline operations, sources said the modified scheme offers an extended runway for commercial viability by extending VGF support to the fourth and fifth years. The policy, sources said, recognises that regional

routes often require more than the standard three years to mature. Besides, to discourage indefinite dependence on State aid, the new funding plan will follow a strict tapering schedule, reducing from 75 per cent in the third year to 25 per cent by the fifth year. This structure is intended to incentivise operators to build a genuine local market and transition to a commercial model. Further, the selection of new sites will be conducted through a “challenge mode” framework. In this system, aerodromes are prioritised based on a scoring matrix that evaluates infrastructure readiness, development potential and the financial commitments made by the State governments.

‘56% women take own investment decisions’

Our Bureau
Mumbai



ON THEIR TERMS. Women are seeking knowledge, engaging with markets, consulting advisors and shaping aspirations

The number of women taking independent decisions on their investments has increased to 56 per cent from 44 per cent in 2022, driven by growing awareness and data available online. According to the DSP MF Winvestor Pulse nationwide study among 5,050 investors, nearly one in four women take completely independent decisions in consultation with a professional advisor. However, the fear of sharing personal investment details with unknown AI-driven online advisors is forcing investors to be dependent on personal financial advisors, the study said. The role of confident women investors in MFs will be more pronounced in the

coming days as the Securities and Exchange Board of India (SEBI) has rolled out an additional commission of 1 per cent (capped at ₹2,000) for MF distributors for bringing in new women investors. While 84 per cent of investors across genders say they feel confident making their own investment decisions, only 33 per cent report having both a clear financial goal and a structured

plan to achieve it. Men are more likely to increase allocations in falling markets (15 per cent versus 10 per cent of women), while women show relatively higher participation in debt mutual funds and ETFs, reflecting differentiated but maturing risk preferences. **SHAPING ASPIRATIONS** Aditi Kothari Desai, Chairperson, DSP Mutual Fund,

said the standout finding of this year is not just the rise in independent decision-making, but also the rise in informed independence. Women are seeking knowledge, engaging with markets, consulting advisors and shaping aspirations on their own terms, she said. Kalpen Parekh, MD & CEO, Mutual Fund, said the Winvestor Pulse survey serves as a mirror every three years and helps the industry track progress and spark deeper conversations among wealth managers on empowering women. When women invest with confidence, families become more secure, and long-term outcomes improve. This is not a women-only agenda. Husbands, fathers and brothers have an equal role to play in enabling women to make independent investment decisions, he said.

QSR chains see dip in physical store additions

Rohan Das
Chennai

Net new store additions

QSR Chain	Q3FY26	Q3FY25	% change
Jubilant (Domino's, Popeyes, others)	114	130	-12.3
Devyani (KFC, Pizza Hut, others)	72	95	-24.2
Sapphire (KFC, Pizza Hut)	31	54	-42.6
RBA (Burger King)	44	46	-4.3

Source: Company financials

The mainstreaming of food delivery services may be eating into the physical expansions of quick-service restaurant (QSR) chains. Data show large QSR chains have all seen a drop in net new store additions in Q3FY26. Jubilant FoodWorks, the country's largest quick-service chain and operator of Domino's Pizza, reported net new store additions of 114 in the quarter ended December 2025, a decrease of 12 per cent when compared to 130 additions in the same quarter last year. **DEVYANI DOWN 24%** Similarly, Devyani International, the franchisee for KFC, Pizza Hut and Costa Coffee, saw a 24 per cent

drop in additions at 72 new stores. Sapphire Foods, which recently announced plans to merge with Devyani, also saw a sharper 42 per cent decline in new additions to 31 stores. For Restaurant Brands Asia (RBA), Burger King's India entity, the net additions remained relatively flat with 44 new stores added in Q3FY26 as compared to 46 in Q3FY25. Angshuman Bhattacharya, Partner and National Leader, Consumer Products and Retail Sector, EY-Parthenon, said while consumer demand

is still intact, 40-60 per cent of sales are now being driven online, especially through food delivery platforms, and this has reduced the need for dense physical expansion. **DARK KITCHENS** “There has been a re-evaluation of the philosophy of opening new stores. A model driven by dark kitchens and delivery platforms allows chains to service a much larger catchment area without having to open as many stores,” he said. The scarcity of capital needed for expansion, espe-

cially from external funding, is also an issue. “Existing stores may grow at 6-7 per cent annually but to fund expansion you need growth at around 20-25 per cent, which means most of the time expansion is led by external funding, which has become hard to come by recently,” Bhattacharya added.

HAPPY STORY

As for the unit economics in tier-2 and -3 markets, Bhattacharya said he believes they have not necessarily been a ‘happy story’. “QSR chains are witnessing significant cannibalisation in these markets. There is also a difference in consumers profiles and price sensitivity. While they might have lower rental costs when compared to metros, the throughput that they generate is also comparatively lower,” he said.

As synthetic media grows harder to detect, AI propaganda raises alarm

Sanjana B
Bengaluru

As AI-generated videos and hyper-personalised narratives grow more sophisticated, experts warn that propaganda is shifting from mass broadcast to targeted psychological manipulation. To curb such misinformation, X has revised its creator policy to target AI-generated war videos that are not clearly labelled as artificial. Creators who fail to disclose such content risk losing monetisation privileges and may face a permanent ban from X's creator revenue sharing programme. “Historically, propaganda was amplified through television debates, newspapers or mass forwards on messaging platforms. AI has transformed propaganda from a loud broadcast into a

personalised whisper,” explained Kartik Gupta, Instructor-AI & Machine Learning, Newton School of Technology. Modern AI systems can analyse behavioural data, linguistic patterns, browsing history and social engagement signals to infer individual vulnerabilities. AI can generate tailored narratives that align with a person's cultural background, religious identity or political leanings.

ERODING TRUST

This is particularly concerning as synthetic media has become increasingly hard to detect. A late-2025 biometric study found only a fraction of participants could accurately distinguish real from AI-generated content, underscoring how AI-driven propaganda can quietly erode trust before manipulation is recognised.

Atul Rai, Co-founder & CEO at Staqu Technologies, highlighted that social media platforms serve as the primary distribution infrastructure through which AI-generated misinformation spreads. However, both developers and creators bear responsibility, said Kaushal Bheda, Director at Pelorus Technology. Creators who generate disinformation or propaganda content are directly accountable for the harm they cause. Gupta added that the world is entering a period where images, voices and videos can no longer be assumed authentic by default. Verification must become systemic rather than individual. Governments, platforms and educational institutions need stronger early-warning systems, authentication protocols and rapid response frameworks.

‘India’s advertisers will adopt AI faster than other markets’

Vallari Sanzgiri
Mumbai

Indian advertising will adopt AI faster than any other market in the world, according to Adam Singolda, Global CEO & Founder of global adtech firm Taboola. Speaking to *businessline* in an exclusive interview, Singolda said Indian advertisers and publishers are keen to attempt AI adoption despite potential failures, which is unusual for the world. “From a cultural perspective, we have big hope for the market in India — on both publishers and advertisers — because it will allow us to try things fast and launch more,” said Singolda. Talking about their AI-enabled advertising platform Realize, Singolda said the number of advertisers that are spending more than \$1,00,000 a year for the product increased last year. Taboola reported double-



TECH-DRIVEN. 65% of Indian residents use AI every day

digit click-through rates for its latest product Deeper Dive, allowing consumers to read more content on the publisher's site. “This is very high. In 15 years, I've never seen double-digit numbers across anything [any platforms]. This is the first time in my career that I'm seeing millions of people engaging at a double-digit per cent performance,” said Singolda. Taboola's data point may not be entirely surprising considering Madison World,

in its latest advertising expenditure report, said the market will be led by digital demand in 2026. **IMPROVING YIELD** It said AI-driven targeting and personalisation is improving yield across performance formats. AI-enabled creative and campaign tools within retail media environments can save businesses an average of 5.2 hours per week on campaign management, which is equal to nearly 30 additional

working days annually. “Adoption of automated visual creative tools and AI-generated ad copy is already visible, allowing smaller advertisers to operate with enterprise level sophistication while retaining budget control and strategic autonomy,” said the report. While most advertisers and agencies are talking about AI today, few have moved from the pilot phase in terms of deployment. Meanwhile, platforms are working towards full ad automation across search, social, programmatic and retail media, said the report. By 2027, the market will split into systems agencies and service agencies, said Madison World. Systems agencies will own frameworks and proprietary intelligence, sell growth engineering and will be compensated in part for outcomes. Service agencies will operate as execution and servi-

cing layers on top of platform tools. Advertisers will be hard-pressed to form deep partnerships and internal capabilities to avoid platforms owning all the intelligence. Accordingly, AI-native systems will be an advantage. By 2027, the gap between early adopters and those stuck in pilots will be hard to close, it said. On the consumer front, Singolda said 65 per cent of Indian residents use AI every single day. “You're looking at consumers being so adoptive of technology, publishers looking to change, e-commerce, from an advertising point of view, being the second largest market: That tells you a very strong story,” he said. With Taboola's products like Realize and Deeper Dive receiving good response from advertisers and publishers, Singolda said he expects massive growth in the region.

